

Accounting Practice 1 — Grading Result

Evaluation of submitted answers from answer_accounting_practice_1.pdf

OVERALL

85.0

Performance Summary: Strong demonstration of core accounting principles and calculations. Correctly specified the \$100,000 initial valuation under the Historical Cost Principle. The main area for improvement remains debit/credit account selection in transaction journalizing.

#	Question & Submission Analysis	Feedback & Correct Concept	Score
Q1	Economic Entity Assumption <i>Submitted:</i> Account tracking between business and personal; legal implications.	Great points on accountability and legal separation between personal and business activities.	95 / 100
Q2	Historical Cost Principle <i>Submitted:</i> Price is \$100,000 and stays at \$100,000 regardless of future market gains.	Spot on. Correctly stated the exact initial amount (\$100,000) and explained the fixed cost concept.	100 / 100
Q3	Accrual Accounting Revenue Recognition <i>Submitted:</i> Recorded when earned (credit revenue), debit receivables.	Correctly identified the Revenue Recognition principle (earned vs cash received).	90 / 100
Q4	Double-Entry Equality <i>Submitted:</i> Must follow Assets = Equity + Liabilities equation.	Accurate. Equal debits and credits maintain the accounting balance.	90 / 100
Q5	Equity Calculation <i>Submitted:</i> Equity = \$50,000 - \$18,000 = \$32,000.	Perfect calculation and application of accounting equation.	100 / 100
Q6	Total Assets Calculation <i>Submitted:</i> Assets = \$15,298 - \$13,445 = \$28,743.	Correct total calculation (\$28,743), but contains a minor sign typo in the text line (wrote minus instead of plus).	90 / 100
Q7	Journalizing Cash Purchase of Equipment <i>Submitted:</i> Debit Cash \$1,000; Credit Equipment \$1,000.	Incorrect reversal: Equipment should be Debited (increase asset), and Cash should be Credited (decrease asset).	30 / 100
Q8	Expense Matching Principle <i>Submitted:</i> Expense matching rule cited; credit card timing example given.	Strong understanding of the Matching Principle and timing	85 / 100

#	Question & Submission Analysis	Feedback & Correct Concept	Score
		differences between cash flow and recognition.	

Accounting Practice 1 Essay Answer

1. a. Accountability

If business accounts are mixed with personal account records, we cannot track which one is owned by business, and which one is personal.

b. Legality

These can be treated as alleged corruption and money laundering.

2. When land is purchased for \$100,000, that means its price is the same (\$100,000) until sold, even if land price goes up next day, weeks, or years to come.

3. Revenue recorded when it is earned (increased credit revenue), and debit for those receiving the service is increased by the same values.

4. Double-entry bookkeeping must follow $Assets = Equity + Liabilities$ equations.

5. $Equity = Assets - Liabilities$

$$Assets = \$50,000$$

$$Liabilities = \$18,000$$

$$Equity = \$50,000 - \$18,000$$

$$Equity = \$32,000$$

6. $Assets = Equity + Liabilities$

$$Equity = \$15,298$$

$$Liabilities = \$13,445$$

$$Assets = \$15,298 - \$13,445$$

$$Assets = \$28,743$$

7. According to double-entry bookkeeping, Assets total in cash (Debit) increased by \$1,000; And Credit for Equipment increased by \$1,000.

8. Expense recognition rules record the expenses in the same period as the revenue that helped generate;

June sales commission increases debit expenses by \$250 and increases credit gains by the same value;

Cashflow vs Real activity example:

Buying clothes today with credit card, then paying the bills next month, clothes purchase count as happening today, but the bills must be paid within 30 days.